

University College London

ECON0054: Economics of Development

2024 / 2025 – Term 2

FIRST DRAFT. PLEASE VISIT THE AMENDED VERSION ON 21/01/25

Lectures

Mondays 14h - 16h

Venue

Institute of Education, W3.01, 20 Bedford Way*

Module Leader

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Teaching Assistant

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Office Hours:

Beatriz Armendariz: Thursdays at 12h – 14h @ Drayton 101

Yikai LI: Tuesdays 17h – 18h @ Room G07 Drayton

Overview

This course delivers a rigorous analysis of critical issues affecting nearly two-thirds of the world's population living in low- and middle-income countries (L&MICs): why are average incomes in L&MICs so low when compared to those in rich countries? why do some countries grow faster than others? how can L&MICs catch up with the living standards of those households that reside in rich countries? what are the most effective ways of improving health and education in L&MICs? can the relaxation of credit and saving constraints contribute to poverty alleviation and women empowerment via microfinance? are institutions the root cause of

* <https://20bedfordway.com/w3-01/>

underdevelopment and income inequality in former western colonies?
how can foreign aid be most effective at promoting inclusive growth and
for eradicating poverty ? how do poor countries deal with the challenges
of the current climate crisis ?

Pre-requisites and key information

Please consult the module catalogue here ↓

[Economics of Development \(ECON0054\) | UCL Module Catalogue - UCL – University College London](#)

Reading

There is **not** a set text for this module. Students are strongly advised to start reading compulsory (*) readings **prior** to each lecture.

Assumed knowledge.

As per the catalogue, students are expected to have taken or be concurrently taking ECON0013 or equivalent or ECON0015, ECON0016 or equivalent and ECON0019 and/or ECON0020. Reading material can be technically challenging. Familiarity with OLS, Diff-in-Diff, IV and RDD is important. I encourage all students intending to take this module to look at the reading material listed below **prior** to deciding to enroll as **reading is extensive**. Third year undergraduates in economics should have an adequate background to go through the reading material, lectures, and tutorials quite easily. In the past, however, 2nd & final year Economics (L100, L101 and L102), final year Econ/Geography (LL17), Phil/Econ (VL51) and PPE (4V86), Econ/Stats (LG13) and Math/Econ (G111/G1LC) students have performed well beyond expectations in this course.

Compulsory Research Component ¹

You will need software literacy: the preferred software for this module is Stata. This is a very user-friendly package and is the software most used in the economics profession at UCL. This software is available on campus computers or remotely via Desktop@UCL. Further information can be found here:

¹ Stata tutorials and exercises in this syllabus are exceedingly useful, particularly for the research component which is part of this module assessments.(See post on Moodle).

<https://www.ucl.ac.uk/isd/services/software-hardware/software-for-students>.

Assessments: 3 components

- 10-pages long (including mathematical formulae and statistical tables) **group** research paper due **Friday 28th March 2025** at 5 PM (or earlier) – on topics 2 to 10.² **30%**
- Four tutorial assignments. From the questionnaires in each of the four compulsory assignments for this module, i.e., one long answer chosen at random will be marked out of 100, and the remaining answers will not be marked but will help you for the final examination. (Model answers on Moodle will be provided after submission of each assignment). Please do not underestimate tutorial assignments as these are crucial for grasping indispensable lecture and tutorial material and for the final exam. **10%**
- In person final examination in May/June 2025 on a date **60%**
TBA

Tutorials

This module involves participation and attendance to the following **four** tutorials:

Tutorial #	Week	Teaching Assistant	Topics	Assignment Submission Date
1	Week 24	Yikai LI	Topics 1 & 2	24/01/25
2	Week 27	Yikai LI	Topics 3, 4 & 5	14/02/25
3	Week 29	Yikai LI	Topics 6 & 7	07/03/2025
4	Week 31	Yikai LI	Topics 8, 9 & 10	21/03/2025

² The research paper is empirical. If you need metrics support, there are several online videos, e.g., [Video tutorials | Stata](#). Topics will be posted shortly. A maximum of 5 students **per group paper** on “a” topic is allowed. Individual submissions are allowed provided there is “space” on the chosen topic. Topics are assigned on a first come first served basis.

Note: Submission of problem sets on the above-mentioned dates **before 17h**. Attendance at all tutorials is compulsory.

Feedback Sessions

These are designed to guide you on your **research topic**. However, we can discuss final exam material too. Sessions are on Teams on **26 February**,³ and **12 March**⁴. **Please come to these sessions prepared** (i.e., at least a skeleton of your research idea should be emailed to me a week prior to our meeting)

Reading material from selected Books ⁵

- Todaro, Michael P., and Stephen C. Smith. 2015. Economic Development, 12th Edition, Pearson Education. Henceforth: **TS**.
- Ray, Debraj. 1998. Development Economics, Princeton University Press. Henceforth: **RD**.
- Weil, David N. 2025. Economic Growth, 5th Edition. Henceforth: **DW**.
- Banerjee, Abhijit V, and Esther Duflo. 2011. Poor Economics: A Radical Thinking of the Way to Fight Global Poverty, Public Affairs. Henceforth: **BD**.
- Easterly, William. 2001. The Elusive Quest for Growth, Economists' Adventures and Misadventures in the Tropics, Cambridge, MA.: MIT Press. Henceforth: **WE**.

³ To book a 20-minute appointment with me on 26 February , please select your slot here:

<https://outlook.office.com/bookwithme/user/6fca1ccced3b4a39b26fe3090f0da04b@ucl.ac.uk/meetingtype/YJKuCbHz5E2H-wFBZf5M7w2?bookingcode=6e20cf04-3fca-4697-b649-a40c4261e054&anonymous>

⁴ To book a 20-minute appointment with me on 12th March, please select your slot here:

<https://outlook.office.com/bookwithme/user/6fca1ccced3b4a39b26fe3090f0da04b@ucl.ac.uk/meetingtype/O07RG2VKGUqpWM2RrS2vrA2?bookingcode=23f688bd-19bc-47bf-9d0c-bd52b8d9164e&anonymous>

⁵ Selected chapters from the listed books can be exceedingly helpful. More challenging compulsory (*) readings that are also listed in the lecture programme section below should be just the right level. Prior to enrolment, potential students are strongly advised that **to score high marks in this course requires extensive reading, understanding, lecture and tutorial attendance**.

TS, RD, and DR are textbooks which deliver conceptual and theoretical frameworks on a wide range of development topics. BD and WE are written for a wide audience. The five books contain quick reads and do a nice job at tying economic theory, research, and real-world experience in developing nations. Research topics and data from various sources can be exceedingly useful for the tutorials, the research assessment component, and the final (in person) examination in this module. Most books can be found at UCL e-library (<https://www.ucl.ac.uk/library/finding-resources/e-resources-ucl>)

Lecture Program. Starred (*) readings are compulsory.⁶

Topic 1. Who is poor? Definition and measurement.

*Roser, Max. 2023. "Extreme poverty: How far have we come, and how far do we still have to go?"

<https://ourworldindata.org/extreme-poverty-in-brief>

*Understanding development and Human Development - United nations

<https://hdr.undp.org/data-center/human-development-index#/indicies/HDI>

*Carolina Diaz-Bonilla et al., "April 2024 Update to the Multidimensional Poverty Measure: What's New," Global Poverty Monitoring Technical Note 38, World Bank, June 2024.

<https://documents1.worldbank.org/curated/en/099028506252442183/pdf/IDU17f2ca6ef1cd3914ea51971a1228e4b722d28.pdf>

*Page, Lucy, and Rohini Pande. 2018. "Ending Global Poverty: Why Money Isn't Enough." *Journal of Economic Perspectives*, 32 (4): 173-200.

<https://pubs.aeaweb.org/doi/pdfplus/10.1257/jep.32.4.173>

Banerjee, Abhijit V; Duflo, Esther, "The Economic Lives of the Poor *Journal of Economic Perspectives*, Vol. 21 Issue 1, pp. 141–167, 2007.

The World Bank (2022), *Four Decades of Poverty Reduction in China Drivers, Insights for the World, and the Way Ahead*

Xala-i-Martin, Xavier (2006), "The World Distribution of Income. Fall in Poverty and Convergence. *Quarterly Journal of Economics*, May, pp. 351 - 397.

⁶ Please note that lecture slides posted ahead of time contain complementary reading material which is also compulsory.

Video. Gross Domestic Product. Is there a better measure of well - being,
<https://www.youtube.com/watch?v=XKy9wGN2TWA>

Topic 2. Economic Growth and Convergence

*Acemoglu, Daron (2007). Introduction to Modern Economic Growth. Chapter 1 only.

[Introduction to Modern Economic Growth](#)

Kremer, Michael, Jack Willis, and Yang You .2021. “Converging to Convergence” NBER Macroeconomic Annual, Vol. 36. University of Chicago Press.

<https://www.journals.uchicago.edu/doi/10.1086/718672>

Mankiw, Gregory, David Romer, and David Weil. 1992. “A Contribution to Economic Growth”. *Quarterly Journal of Economics*, May 1992, pages 407-437.

https://eml.berkeley.edu/~dromer/papers/MRW_QJE1992.pdf

DW, Chapter 3

WE, Chapter 3

Topic 3. Education

*An overview of the current state of education in low- and middle-income countries – The World Bank

<https://www.worldbank.org/en/topic/education/overview>

*Jensen, Robert, (2010). “The (perceived) Returns to Education and the Demand for Schooling”. *The Quarterly Journal of Economics*, Volume 125, Issue 2, May 2010, Pages 515–548.

<https://academic.oup.com/qje/article/125/2/515/1882172?login=true>

Muralidharan, Karthik (2017). “Field Experiments in Education in Developing Countries”. *Handbook of Field Experiments*. Vol. 2, pp. 323 - 385.

Banerjee, Abhijit (2004). “Educational Policies and the Economics of the Family”. *Journal of Development Economics*, 74 3-32.

<https://www.sciencedirect.com/science/article/abs/pii/S0304387803001780>

Banerjee et al. 2007. “Remedying Education: Evidence from two Randomized Experiments in India.” *Quarterly Journal of Economics*, August, pp. 1235 – 126.

Topic 4. Health

*Kremer, Michael, and Rachel Glennerster. 2011. "Improving Health in Developing Countries" in *Handbook of Health Economics*, volume 2 pp. 201-315, Amsterdam, The Netherlands: Elsevier.

<https://www.sciencedirect.com/science/article/pii/B9780444535924000049#s0010>

*Banerjee, Abhijit et al. 2022. "Selecting the Most Effective Nudge: Evidence from a Large- Scale Experiment on Immunization", *Econometrica* (forthcoming).

<https://arxiv.org/pdf/2104.09645.pdf>

Topic 5. Population Growth

*DW Chapter 4

<https://www.ucl.ac.uk/library/finding-resources/e-resources-uc>

Kremer, Michael (1993), "Population Growth and Technological Change: One Billion BC to 1990", *Quarterly Journal of Economics*, Vol. 108, No. 3, pp. 681-716.

RD, Chapter 9.

Knight, John (2021), "A Tale of Two Countries and Two Stages: South Africa, China, and the Lewis Model". *South African Journal of Economics*, Vol. 89, Issue 2, pp. 141 - 326

Cai, Fang (2014), "Demographic Transition, Demographic Divided, and Lewis Turning Point in China", in Debating the Turning Point in China, Routledge.

*** Reading Week ***

Topic 6. Gender

*Jayachandran, Seema. 2015. "The Roots of Gender Inequality in Developing Countries", *Annual Reviews* (7), 63 -88.

https://faculty.wcas.northwestern.edu/~sjv340/roots_of_gender_inequality.pdf

*Bursztyn, Leonardo, Alessandra Gonzalez, and David Yanagizawa-Drott. 2018. "Misperceived Social Norms: Female Labour Force Participation in Saudi Arabia," Working paper, University of Chicago.

<file:///Users/Beatriz/Desktop/SSRN-id3202392.pdf>

Topic 7. Microfinance

*Armendáriz, Beatriz, and Jonathan Morduch. 2010. The Economics of Microfinance, Cambridge, MA.: MIT Press, Chapter 4.

<https://www.ucl.ac.uk/library/finding-resources/e-resources-ucl>

*Ashraf, Nava, Dean Karlan, and Wesley Yin. 2006. "Tying Odysseus to the Mast: Evidence from a Commitment Savings Product in the Philippines", Quarterly Journal of Economics, 635 -672.

https://moodle.ucl.ac.uk/pluginfile.php/1178007/mod_resource/content/2/Ashraf_et_al_savings-1.pdf

Topic 8. Institutions

*Acemoglu, Daron, Simon Johnson, and James A. Robinson (2001). "The Colonial Origins of Comparative Development: An Empirical Investigation." American Economic Review, 91 (5): 1369-1401.

<https://www.aeaweb.org/articles?id=10.1257/aer.91.5.1369>

*Acemoglu, Daron, Simon Johnson, and James A. Robinson (2002), "Reversal of Fortune. Geography, and Institutions in the Making of the Modern World Income Distribution", Quarterly Journal of Economics, Vol. 117, No. 4, pp. 1231 - 1294.

* Dell, Melissa. 2010. "The Persistent Effects of Peru's Mining Mita", Econometrica, Vol. 78, No 6: 1863 – 1903.

<https://www.jstor.org/stable/40928464>

Acemoglu, Daron, and James Robinson (2012), Why Nations Fail: The Origins of Power, Prosperity, and Poverty, Crown Business.

Topic 9. Foreign Aid

*Burnside, Craig, and David Dollar. 2000. "Aid, Policies, and Growth". American Economic Review, Vol 90, September, pp. 847 – 868.

https://www.jstor.org/stable/pdf/117311.pdf?refregid=excelsior%3Ace45c8a9ecb68ace85bcf0a91fbdb937&ab_segments=&origin=&initiator=&acceptTC=1

*Qian, Nancy. 2015. "Making Progress on Foreign Aid." Annual Review of Economics.

<https://www.annualreviews.org/doi/pdf/10.1146/annurev-economics-080614-115553>

Topic 10. The Climate Crisis and Economic Development

*Chandy, Lawrence (2023), "Economic Development in the Era of Climate Change", Carnegie Endowment for International Peace, January.

*Dell, Melissa (2012), "Temperature Shocks and Economic Growth: Evidence from the Last Half Century, American Economic Journal: Macroeconomics, American Economic Association, Vol. 4 (3), pp. 66 - 91.

Burke, M., S.M. Hsiang, and Edward Miguel (2015), "Climate and Conflict", Annual Review of Economics

Burgess, Robin, Matthew Hansen, Benjamin A. Olken, Peter Potapov, and Stephanie Sieber (2012), The Quarterly Journal of Economics, Vol. 127, Issue 4, pp. 1707-1754.